

INSTITUTE OF ACTUARIES OF INDIA

EXAMINATIONS

19th November 2020

Subject CB1 – Business Finance

Time allowed: 3 Hours 30 Minutes (09.30 – 13.00 Hours)

Total Marks: 100

Q.1) Which of the following statements with respect to IASB are correct?

- I. IASB stands for International Accounting Standardization Board
- II. IASB has no authority to require compliance with its accounting standards
- III. While setting international accounting standards, IASB does not collaborate with national accounting standard setters in different countries because it should operate truly independently.

- A. I only
- B. II only
- C. I and II
- D. All the above

[2]

Q. 2) Management of ABC Ltd. is considering change of method used for calculation of depreciation for a machine purchased last year, from Straight-line method to Reducing Balance method of depreciation.

The machine was purchased for INR 10,00,000 and was estimated to have a useful lifetime of 5 years with estimated residual value of INR 1,00,000 at the end of 5th year.

What is the impact on accounting profit of ABC Ltd. because of this change?

- A. Loss of approximately 2,00,000
- B. Gain of approximately 2,00,000
- C. Loss of approximately 50,000
- D. No impact

[2]

Q. 3) A Ltd. has made investments in 3 companies:

- It has 30% holding in X Ltd and right to appoint 3/10 directors
 - It has 55% holding in Y Ltd and right to appoint 4/10 directors
 - It has 10% holding in Z Ltd and right to appoint 6/10 directors
- Which of the following are subsidiaries of A Ltd?

- A. X Ltd and Y Ltd
- B. Y Ltd and Z Ltd
- C. X Ltd and Z Ltd
- D. All 3 companies

[2]

Q. 4) The following were calculated from financial statements of a manufacturing company:

Inventory Turnover Period - 10 days

Trade Receivable Turnover Period - 40 days

Trade Payable Turnover Period - 60 days

Which of the following is definitely NOT true?

- A. Business is being run efficiently
- B. Management is trying to use suppliers as source of capital
- C. Company has strained relations with vendors
- D. Company is settling its creditors earlier than its debtors

[2]

- Q. 5)** Investors might be willing to pay higher multiple of the earning per share of company as opposed to another because:
- I. They expect earnings to grow rapidly in future
 - II. They consider earnings on the stock to be less risky
- Which of the statements is correct?
- A. I only
 - B. II only
 - C. Both I and II
 - D. Neither I nor II
- [2]**
- Q. 6)** “Preference shares are more like debt than equity”. Which of the following statements explain this most correctly?
- A. the tax treatment of preference dividends
 - B. the ability to buy and sell preference shares
 - C. the fixed nature of participation in profits
 - D. the ability to make capital gains or losses
- [2]**
- Q. 7)** In a limited liability company, who bears the legal responsibility for the financial affairs?
- A. the board of directors
 - B. the external Auditor
 - C. the Chief Financial Officer
 - D. the Internal Auditor
- [2]**
- Q. 8)** What is the most appropriate about the cost of providing finance from retained earnings?
- A. There is no cost associated with retained earnings.
 - B. Retained earnings are less expensive than equity share capital.
 - C. Retained earnings are equally expensive as equity share capital.
 - D. Retained earnings are more expensive than equity share capital.
- [2]**
- Q. 9)** Maximisation of profit is a less acceptable corporate objective than maximisation of shareholder wealth. What explains this most correctly?
- A. It is rarely to the directors’ advantage to improve profit.
 - B. Profit can be a short-term measure of performance only.
 - C. Profits can lead to pressure to pay dividends.
 - D. The shareholders do not benefit from profit.
- [2]**
- Q. 10)** The net present value (NPV) method is generally considered to provide the most consistent and relevant basis for selection of investment projects. Which of the following situations creates the greatest threat to the validity of evaluating projects using NPV in practice?

- A. Net present value ignores risk.
- B. Shareholders may disagree with the results of a net present value calculation.
- C. The calculation of net present value can lead to two solutions.
- D. Managers may wish to undertake the project for selfish reasons and could manipulate the analysis.

[2]

Q. 11) A Ltd. has purchased items worth INR 1,00,000 from B Ltd. on credit terms of 0.4/5 Net 20. A Ltd. is evaluating when to settle the payment of B Ltd. Considering this situation, answer the following:

i) What is meant by credit terms of 0.4/5 Net 20?

(1)

ii) Suggest the analysis that A Ltd. should carry out to address the problem statement. Also, comment on the decision that A Ltd. should take.

(4)

[5]

Q. 12) An insurance company has following budget and actual results over a quarter.

Component	Budget	Actual
Number of Policies	100	120
Premiums	1,00,000	1,00,000
Salaries	35,000	25,000
Commission	30,000	35,000
Rent	20,000	22,000
Profit	15,000	18,000

The company flexes its original budget by adjusting premiums and variable costs in line with number of policies sold.

Prepare company's flexed budget for the quarter and suggest possible reasons for the variances between the flexed budget and the actual results.

Note: 60% of the salaries paid correspond to support staff and 25% corresponds to sales staff.

[5]

Q. 13) X Ltd. bought a machinery worth INR 1 crore 5 years ago, expecting its useful lifetime to be 10 years. Current market value of the machinery is INR 80 lakhs. Company's management is now thinking to prepare financials on fair-value basis, as opposed to current practise of historic costing basis.

Describe the impact on company's financial statements, if the management goes ahead with this decision. Clearly state the assumptions made, if any.

[5]

Q. 14) Explain sustainability reporting in context of preparing financial accounts. Discuss its advantages and disadvantages.

[5]

Q. 15) Describe the various steps in probability trees approach used in capital project appraisal.

[5]

Q. 16) Explain how and why the interests of the stakeholders in a company may be in conflict with one another. [5]

Q. 17) ABC Ltd, a large player in hospitality sector is a listed company and the company has been following policy of reinvesting profits in order to fund growth. As a result, the company has attracted shareholders whose tax positions tend to favour capital gains over dividends. The industry faces some difficulties that will slow down investment opportunities for the next three to four years.

Explain whether ABC Ltd is likely to change its dividend policy over the period of limited investment opportunities and how it should communicate this change. [5]

Q. 18) Define the key functions of the Reserve Bank of India. Describe the impact of a decrease in interest rate on the domestic economy both on the personal and business sectors. [5]

Q. 19) The following figures have been extracted from the financial statements of ABC Ltd., a manufacturing company.

Extracts from income statement for the year ended 31 March:

	2017 (INR '000)	2018 (INR '000)	2019 (INR '000)
Revenue	850	970	1,200
Purchases	510	535	550
Cost of Sales	469	521	532

Extracts from statement of financial position for the year ended 31 March:

	2017 (INR '000)	2018 (INR '000)	2019 (INR '000)
<u>Current Assets</u>			
Inventory	42	49	55
Trade Receivable	66	85	120
Cash at Bank	20	11	2
	<u>128</u>	<u>145</u>	<u>177</u>
<u>Current Liabilities</u>			
Trade Payables	75	93	122
Tax	13	19	27
	<u>88</u>	<u>112</u>	<u>149</u>

i) The financial statements from which the above extracts have been drawn take into account cost concept and going concern concept, amongst other accounting concepts. With respect to this, answer the following:

a) What is meant by preparing financial accounts on cost concept and going concern concept? (2)

- b) What is the nature of relationship between these two accounting concepts? (1)
- c) How does using these concepts ease the process of preparation of financial statements? (3)
- ii) Basis the information above, compute the missing values (M1, M2, M3 and M4) in the following table of accounting ratios based on the financial statements of ABC Ltd:

Financial Ratio/FY	2017	2018	2019
Current Ratio	M1	1.29	1.19
Quick Ratio	0.98	M2	0.82
Inventory Turnover	33	34	M3
Trade Receivable Turnover	28	32	37
Trade Payable Turnover	M4	63	81

- iii) Explain why it may be important to consider trends in liquidity ratios rather than the figures as at a single point in time. (3)
- iv) Basis the extracts of financial statements and table completed in (i), discuss the following:
- a) Liquidity of ABC Ltd. (3.5)
- b) Efficiency of ABC Ltd. (5.5)
- [20]**

Q. 20) Finsure is a Listed company and based on the following information, a report on cost of capital has to be prepared.

Market capitalisation of the company's equity	Rs 400 crore
Debenture	
Debenture- Face value	Rs 250 crore
Debenture- Market value	Rs 220 Crore
Debenture- Coupon Rate	5% per annum
Debenture Redeemable	In 5 years at Par
Tax rate	30%
Risk Free rate of interest	4% per annum
The ungeared beta on equity	1.4
Market Rate of Return	12%

The company plan to raise further finance to fund expansions. They are concerned that the WACC is higher than they think is justified and they wish to discuss some proposals for reducing the figure. They may not go for further raising of finance if the cost of capital is overstated.

- i) Determine Company's cost of equity using the company's geared beta. (4)
- ii) Determine the approximate cost of debt. (4)
- iii) Calculate weighted average cost of capital of the company (WACC). (2)

- iv) The company is considering the following sources of financing:- Rights Issue and Convertible Unsecured Loan Stock. Describe the main characteristics of these sources of financing. What further factors does the company need to consider before making their decision.

(10)

[20]
